

Palantir Technologies Inc.

PLTR NYSE

Hold	\$170.46 ▼ 2.56%	12M Price Target \$175.00	52-Week Range \$106.37 – \$207.52	Market Cap \$409.63B
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PLTR: Great Earnings, Great Story, Nosebleed Valuation

WHAT HAPPENED

- PLTR down 2.6% on light volume (only 6.2M shares vs 40-70M recent days) — this is a cooling-off day after a monster earnings run, not a real reversal. The Barron's headline says it all: PLTR moved inversely with chip stocks today, meaning money rotated from software back into semis.
- Michael Burry (the "Big Short" guy) adding to his PLTR short and comparing this to 2005 is the story everyone's whispering about. When a famous bear invokes a pre-crash year, it plants doubt — even if he's early or wrong, it caps near-term enthusiasm.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- Valuation reset risk — at 100x sales, even a mild guidance miss could drop this 30% overnight. Burry isn't shorting the business; he's shorting the math.
- Insider selling isn't a one-off — the President of PLTR just sold \$4M in shares. When insiders sell into strength repeatedly, they're telling you something about risk/reward from here.
- The hidden risk: government contract concentration. If a future administration (or even a single House committee) decides to audit sole-source AI contracts, PLTR's growth story hits a speed bump nobody's modeling.

IN THE NEWS

Palantir and These Software Stocks Slide in Seesaw With Chip Giants Barrons.com · 2026-08-12 12:29

Palantir Just Crushed Earnings Again. These 2 Legacy Defense Stocks Are the Cheaper Way to... Motley Fool · 2026-08-12 12:22

Software-as-a-Service (SaaS) Companies Are Making a Comeback. Here's the Exact SaaS Stock ... Motley Fool · 2026-08-12 05:20

Cathie Wood Has Been Selling Palantir Into Every Rally Since Its 29% Earnings Pop Motley Fool · 2026-08-12 01:27

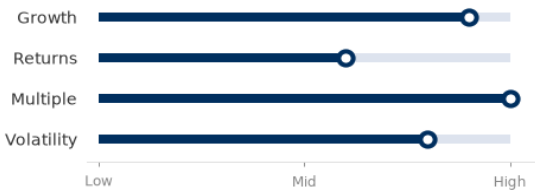
Michael Burry Adds To NVDA, PLTR, ORCL Shorts — Why He's Thinking About 2005 Again Stocktwits · 2026-08-11 22:52

WHAT OPTIONS TRADERS ARE DOING

Key Data

Price (USD)	\$170.46
12M Price Target	\$175.00
Upside / (Downside)	+2.7%
Market Cap	\$409.63B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,600M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.85
Fwd P/E	275.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$190.00	\$172.00	\$155.00
6 Months	\$220.00	\$175.00	\$135.00
1 Year	\$250.00	\$180.00	\$120.00
2 Years	\$320.00	\$200.00	\$95.00
5 Years	\$500.00	\$260.00	\$80.00
10 Years	\$900.00	\$400.00	\$60.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.77% today) and Energy (+6% over 5 days) — tech is riding the AI infrastructure buildout, energy is riding both geopolitical premium and the "AI needs power" thesis (data centers are electricity hogs).

COOLING OFF: Financials and Real Estate — rate uncertainty and lingering CRE concerns keeping money away.

ROTATION WATCH: Money is rotating WITHIN tech today — out of high-multiple software (PLTR, CRM) and into semis (NVDA, AMD). This is a valuation rotation, not a sector rotation, and it happens every few weeks in this market.

RELATED PLAY: If you want defense AI exposure without paying 100x sales, look at ANET (Arista) for AI networking, or the boring but cheaper LMT/RTX for direct defense budget exposure. AXON is another "government software with a moat" comp trading at a saner multiple.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI infrastructure king — every dollar of AI spending flows through their GPUs first.
- ANET (Arista Networks): Quietly benefiting from data center buildout, trades at a fraction of PLTR's multiple.

PLTR CONTEXT: PLTR is LEADING its peer group on business momentum but LAGGING today because it led on the way up. When a stock outruns its sector, it's the first to give back gains on rotation days — that's exactly what we're seeing. Not a warning sign yet, but if PLTR starts underperforming tech on green days too, that's when you worry.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — Love the business, hate the entry price. This is a "wait for your pitch" stock.

POSITION SIZE: 1-3% max. The volatility is real (52-week range is \$106-\$207, meaning the stock can move 40% in either direction) — size it so a 30% drawdown doesn't ruin your week.

ENTRY POINTS: I'd wait for \$140-150 on a broad market pullback. If you're already in from lower, trim 20-25% here and let the rest ride.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is either (a) a valuation reset that makes the risk/reward compelling, or (b) evidence US Commercial can hit \$2B+ annualized, which justifies the multiple.

WHEN TO BAIL: Two consecutive quarters of US Commercial deceleration, OR a change in DoD procurement policy that spreads AI contracts across more vendors, OR Karp announcing departure.

HEDGING: Simplest hedge — buy a put option 15% below current price expiring 6 months out. In plain English: you're paying a small premium for insurance that pays off big if the stock crashes. Or just sell half and sleep better.